



Enforcement Rules of Regulations on the Market Operation of Class X Beneficiary Certificates of a Multiple Class Fund

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Enforcement Rules on Regulations on the Market Operation of Class X Beneficiary Certificates of a Multiple Class Fund

Chapter I. General Provisions

§1. Purpose

The purpose of these Enforcement Rules is to stipulate the matters delegated by the Regulations on the Market Operation of Class X Beneficiary Certificates of a Multiple Class Fund and other matters necessary for its enforcement.

Chapter II. Listing of Class X Beneficiary Certificates of a Multiple Class Fund

§2. Listing Agreement

“The form stipulated by the Enforcement Rules” in the former part of [§4(2)] of the Regulation shall refer to the listing agreement in [Annex: Form No. 1].

§3. Application Documents for Preliminary Listing Review

“An application for preliminary listing review and the accompanying documents stipulated by the Enforcement Rules” in [§5(1)] of the Regulation shall refer to those prescribed in Appendix 1.

§4. Initial Listing

(1) “An application for initial listing review and the accompanying documents stipulated by the Enforcement Rules” in [§6(1)] of the Regulation shall refer to those prescribed in Appendix 2.

(2) “Cases specified in the Enforcement Rules” in the proviso to [§6(2)2] of the Regulation shall refer to those recognized by the Exchange in consideration of the level of innovation of the product, its impact to the sound development of the securities market, and the realization of the public interest.

(3) “Cases stipulated by the Enforcement Rules” in [§6(2)5] of the Regulation shall refer to cases where bond-based (including bond derivative-based) class X beneficiary certificates under Appendix 15 of the Enforcement Rules of Regulations on Business and Operation of Financial Investment Companies of the Korea Financial Investment Association are listed.

(4) The listing review criteria class X beneficiary certificates pursuant to [§6(3)] of the Regulation shall be as specified in Appendix 3.

(5) Pursuant to [§6(6)] of the Regulation, an initial listing applicant may omit the submission of the accompanying documents required to be submitted pursuant to [§6(1)] of the Regulations if there is no change to the documents submitted pursuant to [§5(1)] of the Regulations.

§5. Application Documents for Supplementary Listing and Listing Change

(1) “An application for supplementary listing and the accompanying documents stipulated by the Enforcement Rules” in [§7(1)] of the Regulation shall refer to those prescribed in Appendix 4.

(2) “An application for listing change and the accompanying documents stipulated by the Enforcement Rules” in [§7(2)] of the Regulation shall refer to those prescribed in Appendix 5.

§6. Designation of Administrative Issues

Pursuant to [§8(3)] of the Regulation, the timing of designation and release of an administrative issue shall be as prescribed in Appendix 6.

Chapter III. Reporting and Disclosure of Listed Entities with Class X Beneficiary Certificates of a Multiple Class Fund

§7. Reporting Obligation

(1) “Details of asset composition prescribed by the Enforcement Rules” in [§14(1)2] of the Regulation shall refer to the names and proportions of each included asset that constitutes at least 70% of the total asset weight of a multiple class fund. In this case, assets with a higher asset weight are prioritized for inclusion in the details of asset composition.

(2) “Matters on included assets specified in the Enforcement Rules” in [§14(1)3] of the Regulation shall refer to the remaining maturity and credit rating of the included bonds among the included assets as of the end of each month.

(3) “Cases prescribed by the Enforcement Rules” in [§14(1)8] of the Regulation shall refer to any of following subparagraphs:

1. In the event that any of the following resolutions, decisions, or facts occur in relation to class X beneficiary certificates:

- (a) Where there is a change in registration pursuant to Article 182, Paragraph 8 of the Act or a change in the trust agreement;

- (b) Where an approval is obtained for termination or partial termination of a multiple class fund;
 - (c) Where the trust agreement is terminated;
 - (d) Where a decision such as cancellation of registration is made;
 - (e) Where the registration of the register of the relevant class X beneficiary certificates is closed;
 - (f) Where the general management company changes; or
 - (g) Where any other event that significantly impacts the management of the investment trust assets occurs
2. Where the authorized participant changes or is added;
 3. Where a liquidity providing agreement is concluded with a liquidity providing member pursuant to [§6(2)3(b)] of the Regulations, or such agreement is changed or terminated;
 4. Where the computer system of a liquidity providing member malfunctions or is resolved;
 5. Where an error occurs in the details of asset composition noted in [§14(1)2] of the Regulations or is resolved;
 6. Where the deviation ratio calculated in accordance with [§18(2)] of the Regulations based on the net asset value per 10,000 units calculated in real time at the end of regular market trading hours is higher than the ratio specified in each of the following items:
 - (a) Issues that constitute the assets of a fund using only domestic assets: 1 %; and
 - (b) Other issues: 2%
 7. In other cases where the Exchange deems it necessary for the realization of the public interest and investor protection.

Chapter IV. Market Operation, Trading, Clearing and Settlement, etc.

§8. Reference Price

(1) “Reference price determined by the Enforcement Rules” in [§16(1)] of the Regulation shall refer to the price in each of the following subparagraphs:

1. Issues other than those in subparagraphs 2 through 4: Closing price of the previous day (if the price does not match the tick size, it shall be the closest price to the price among the

prices that are higher than the price and match the tick size. If there is no previous day's closing price, it shall be the previous day's reference price; the same hereinafter);

2. Issues newly listed: The reference price calculated based on 10,000 units, using the reference price per unit derived pursuant to Article 238, Paragraph 6 of the Act. In this case, the most recently announced reference price based on the listing date shall be used, and if the reference price is announced the day before the listing date, it shall be limited to the price announced by 17:00.
 3. Issues using the opening price the reference price: The price initially determined in accordance with [§37(1)] of the KOSPI Market Business Regulations (hereinafter referred to as the "Business Regulations"). In this case, if the initial trading price is not determined by the end of the trading day, the price specified in each of the following subparagraphs shall be the reference price for the next trading day:
 - (a) Where there are ask quotations lower than the appraisal price determined in Appendix 1 of the Enforcement Rules of the Business Regulations (if there is no such price, the lowest ask price is used; hereinafter referred to as the "appraisal price" in this Article): The price of the lowest ask quotation;
 - (b) Where there are bid quotations higher than the appraisal price: The price of the highest bid quotation; or
 - (c) For cases other than items (a) and (b): The appraisal price
 4. Issues that have reported profit distribution to the Exchange: The price calculated by deducting the distribution amount per 10,000 units from the closing price on the day before the second trading day of the reference date pursuant to [§132(1)] of the Enforcement Rules of the Business Regulations (if the distribution amount is not determined, the amount calculated by taking into account the price announced by 17:00 among the reference prices calculated pursuant to Article 238, Paragraph 6 of the Act).
- (2) Where the price noted in subparagraphs 2 and 4 of paragraph (1) (the value less than KRW 1 is disregarded) does not match the tick size, the nearest price above that price that matches the tick size shall be used.
- (3) Pursuant to the proviso to [§16(1)] of the Regulations, if the price calculated by adding the price limit to the reference price does not match the tick size, the nearest price below that price that matches the tick size shall be set as the upper price limit and if the reference price is the minimum tick size, that price shall be set as the lower price limit.
- (4) "Cases prescribed by the Enforcement Rules" in [§16(3)] of the Regulation shall refer to any of the following subparagraphs:

1. Where trading resumes for the first time after a long market closure; or
2. Where it is deemed significantly difficult to apply the reference price pursuant to paragraphs (1) and (2) due to reasons such as a long-term suspension of trading, significant changes in rights, or sudden changes in market conditions.

§9. Liquidity Providing Members

(1) Pursuant to [§17(4)] of the Regulations, if a liquidity providing member designates or changes an employee responsible for the task of liquidity provision, the member shall notify the Exchange of the employee (if there are multiple employees, the person in charge).

(2) Pursuant to [§17(4)] of the Regulations, a liquidity providing member shall enter into an agreement for liquidity provision with the Exchange.

§10. Obligation to Submit Liquidity Providing Quotations

“Cases specified by the Enforcement Rules” in [§18(4)] of the Regulation shall refer to any of the following subparagraphs:

1. Where the bid-ask spread ratio falls within the range stipulated in [§18(1)] of the Regulations. In this case, if only an ask quotation is submitted, the lower limit price shall be considered the best bid. If only a bid quotation is submitted, the upper limit price is considered the best ask;
2. Where the bid-ask spread based on the best quotation is equivalent to one (1) tick size, and the bid-ask spread ratio cannot be reduced within the range stipulated in [§18(1)] of the Regulations;
3. Where the price is determined by the call auction method pursuant to [§23] of the Business Regulations, during the time for quotation receiving hours specified in each subparagraph of [§35(1)] of the Enforcement Rules of the Business Regulations and within 5 minutes after the end of the relevant quotation receiving hours; or
4. Where the Exchange deems it necessary for market management due to sudden changes in the quotation or trading situation or other reasons.

§11. Method of Submitting Liquidity Providing Quotations

(1) In the event that a liquidity providing member wishes to open, change (including cases where the liquidity providing issue through the account is changed), or close a liquidity providing account pursuant to [§19(1)] of the Regulations [including accounts for hedge trades (hereinafter referred to as “hedge trades”) related to the submission of liquidity providing quotations pursuant to [§18(2)7] of the Business Regulations and [§9-3(2)6] of the KOSDAQ Market Business Regulations], the member shall report the details of the account to the Exchange using the form in Appendix 3 at least two (2) trading days prior to the date of submission of the liquidity providing quotation or hedge trade quotation through the account.

(Amended on October 24, 2025)

(2) Pursuant to [§19(3)] of the Regulations, in case where a liquidity providing member submits liquidity providing quotations for class X beneficiary certificates, the member shall submit a quantity equivalent to at least 100 times the trading quantity unit of the class X beneficiary certificates. Provided that if the quantity obtained by subtracting the quantity owned by the liquidity providing member from the listed quantity is less than 100 times the trading quantity unit of the Class X beneficiary certificates, the quantity of bid quotations in the liquidity providing quotations shall be a quantity equivalent to 100 times the trading quantity unit of the class X beneficiary certificates.

(3) Pursuant to [§19(3)] of the Regulations, in cases where a liquidity providing member who has not submitted a liquidity providing quotation submits a liquidity providing quotation to either party, the price of the quotation may be set at a price deemed appropriate by taking into account the net asset value, etc.

(4) Pursuant to [§19(3)] of the Regulations, in cases where a liquidity providing member who has submitted a liquidity providing quotation to either the ask or bid side submits a liquidity providing quotation to the other side, the price of the quotation shall be the price at which the bid-ask spread ratio calculated based on the best quotation in the direction in which the liquidity providing member submitted the liquidity providing quotation falls within the range prescribed in [§18(1)] of the Regulations. In this case, if the bid-ask spread ratio of one (1) tick size exceeds the range prescribed in [§18(1)] of the Regulations, the price corresponding to one (1) tick size shall be used.

(5) Where a liquidity providing member corrects the price of a liquidity providing quotation that has not been traded, the quotation quantity shall be at least the smaller of the following quantities:

1. The entire quantity for which a trade has not been concluded; and
2. A quantity equivalent to 100 times the trading quantity unit of class X beneficiary certificates

(6) Liquidity providing members shall not delegate the submission of liquidity providing quotation to other members.

(7) With respect to covered short sale quotations of underlying stocks submitted by liquidity providing members for hedge trades, the provisions on ETF funds of [§18(2)7] of the Business Regulations and [§9-3(2)6] of the KOSDAQ Market Business Regulations shall apply. [October 24, 2025]

§12. Exceptions to Submission of Two-sided Quotations

“Cases specified by the Enforcement Rules” in the proviso to [§19(2)] of the Regulation shall refer to any of the following subparagraphs:

1. When a liquidity providing member submits a liquidity providing quotation on either the

ask or bid side, and the bid-ask spread ratio with the other liquidity providing quotation already submitted by the relevant liquidity providing member becomes within the ratio specified in Article 18, Paragraph 1 of the Regulations (in the case of falling under the latter part of [§11(4)], the ratio corresponding to one (1) quotation price unit); or

2. When the quotation submitted to the other party is an ask quotation under [§13(2)] or a bid quotation under [§13(3)].

§13. Restrictions on Submitting Liquidity Providing Quotations

Pursuant to [§19(3)] of the Regulations, liquidity providing members shall not submit liquidity providing quotations in any of the following cases:

1. Where the case falls under Article 71, Paragraph 2 of the Act;
2. Where the quantity held by the liquidity providing member is less than 100 times the trading quantity unit of the class X beneficiary certificates. In this case, liquidity providing quotations that cannot be submitted shall be limited to ask quotations; or
3. Where the quantity held by the liquidity providing member is equal to the entire listed quantity. In this case, liquidity providing quotations that cannot be submitted shall be limited to bid quotations.

§14. Assessment of Liquidity Providing Members

(1) Pursuant to the former part of [§20(1)] of the Regulations, the Exchange may assess liquidity providing members on a quarterly basis and announce the results as set forth in each of the following subparagraphs:

1. The degree of compliance with the obligation to submit liquidity providing quotations. Provided that the deviation ratio may be calculated and evaluated according to a method determined by the Exchange based on prices established during regular market trading hours;
2. Proactiveness in submitting liquidity providing quotations;
3. The bid-ask spread reflected in the liquidity providing quotations submitted;
4. The quantity of liquidity providing quotations submitted; and
5. Compliance with the securities laws and regulations and the Exchange regulations related to the task of liquidity provision

(2) When conducting an assessment pursuant to paragraph (1), if an issue for which a liquidity providing member has submitted liquidity providing quotations falls under [§15(1)1] for two (2) consecutive quarters, the Exchange shall assign the lowest rating to the relevant liquidity providing member, regardless of the performance of other issues for which the relevant

liquidity providing member provides liquidity. Provided that an exception may be made if the Exchange deems it necessary due to sudden changes in market conditions or other reasons.

(3) A liquidity providing member shall, pursuant to Article 20, Paragraph 2 of the Regulations, notify the Exchange of any information requested by the Exchange for assessment, such as information on the failure to submit liquidity providing quotations for the relevant quarter due to circumstances falling under [§10(4)] or [§13(1) through (3)], by the end of the relevant quarter.

(4) In addition to the provisions of paragraphs (1) through (3), the Exchange shall separately determine the assessment criteria, announcement method, and other necessary matters regarding the assessment of liquidity providing members.

§15. Criteria for Replacing Liquidity Providing Members

(1) “Criteria prescribed by the Enforcement Rules” in the latter part of [§20(1)] of the Regulation shall refer to cases where all of the following subparagraphs apply:

1. Where the obligation to submit a liquidity providing quotation under [§18(1)] of the Regulations is violated for more than one hour on a trading day, or if the obligation to submit a quotation under [§18(2)] of the Regulation is violated for more than 20 trading days for each quarter; and
2. Where a liquidity providing member receives the lowest rating as a result of an assessment under [§14(1)] (excluding the assessment for the quarter in which the initial listing date falls).

(2) Notwithstanding paragraph (1), if any of the following subparagraphs applies and the Exchange deems it necessary, each subparagraph of paragraph (1) may not be applied:

1. Where a system failure occurs at the Exchange or the liquidity providing member, resulting in a situation falling under paragraph (1)1;
2. Where there is a rapid price fluctuation of the listed asset;
3. Where it is practically impossible to submit liquidity providing quotations due to a sudden change in political or economic conditions; or
4. Other cases where it is deemed necessary for market management purposes.

§16. Quotation Unit

(1) The quotation quantity unit under [§21] of the Regulations shall be 10,000 units.

(2) The tick size under [§21] of the Regulations shall be as follows:

1. For issues with a price of less than KRW 2,000 per 10,000 units: KRW 1; and

2. For issues with a price of KRW 2,000 or higher per 10,000 units: KRW 5

§17. Trading Quantity Unit

- (1) Pursuant to [§21] of the Regulations, the trading quantity unit shall be 10,000 units.
- (2) Notwithstanding paragraph (1), if there is a risk of computer system failure due to a surge in quotations or if the Exchange deems it necessary for market management, the trading quantity unit may be adjusted from a date determined by the Exchange.
- (3) In cases where the trading quantity unit is adjusted pursuant to paragraph (2), prior notice shall be provided.

§18. Change of Trade Execution Methods, etc. by Issue and Announcement of Change

- (1) “Rate prescribed by the Enforcement Rules” in [§22(1)1] of the Regulation shall refer to 6%. Provided that, in the case of order receiving time for determining the price at the market closing, the rate shall be 4%.
- (2) “Rate prescribed by the Enforcement Rules” in [§22(1)2] of the Regulation shall refer to 10%.
- (3) Pursuant to [§22(2)] of the Regulations, with regard to changes in the trade execution method by issue and the announcement of changes, etc., [§41-2(3) through (6)] and [§41-3] of the Enforcement Rules of the Business Regulations shall apply *mutatis mutandis*.

Chapter V. Supplementary Provisions

§19. Listing Fees and Annual Dues

Pursuant to [§23(2)] of the Regulations, the fee rates, calculation and payment methods, exemption scope, and other necessary matters related to listing fees and annual dues shall be specified in Appendix 7.

ADDENDA

(Regulation No. 2331 / May 9, 2025)

§1. Effective Date

This Enforcement Rules shall become effective on May 12, 2025. Provided that Chapter IV ([§8] through [§18]) and [§19] shall be enforced from the dates in each of the following subparagraphs:

1. Chapter IV ([§8] through [§18]): October 27, 2025 (Amended on October 24, 2025)
2. [§19]: October 27, 2026 (Amended on October 24, 2025)

§1-2. Application Case Concerning Payment of Listing Fees

Payment of listing fees pursuant to [§19] shall apply to listing applicants who submit applications for preliminary listing review after the date stipulated in [§1(2)] of the Addenda.

§2. Effective Date of Regulations on the Market Operation of Class X Beneficiary Certificates of a Multiple Class Fund

“Date specified in the Enforcement Rules” in [§1] of the Addenda of Regulation No. 2319 Regulations on the Market Operation of Class X Beneficiary Certificates of a Multiple Class Fund shall refer to May 12, 2025. Provided that in the case of Chapter IV ([§15] through [§22]) of the same Regulations, it shall be October 27, 2025. (Amended on October 24, 2025)

ADDENDUM

(Regulation No. 2368 / October 24, 2025)

This Enforcement Rules shall become effective on October 27, 2025.

[Appendix 1] Application Documents for Preliminary Listing Review

Application Documents for Preliminary Listing Review (Pertaining to [§3] of the Enforcement Rules)

- 1) An application for listing eligibility review prescribed separately by the Exchange
- 2) Official document designating innovative financial services under the Special Act on Support for Financial Innovation
- 3) Prospectus
- 4) A copy of the contract (including an agreement for liquidity provision) signed with the authorized participant
- 5) A copy of trust contract and documents describing the operation plan for the trust property of investment trust
- 6) A copy of the agency service contract entered with the general office management company
- 7) Other documents that the Exchange deems necessary for the preliminary listing review

Notes: For documents from 3) to 6), if the Exchange permits, documents with final contents may be additionally submitted by the time of application for initial listing.

[Appendix 2] Application Documents for Initial Listing

Application Documents for Initial Listing (Pertaining to [§4] of the Enforcement Rules)

- 1) An application for initial listing prescribed separately by the Exchange
- 2) Documents proving registration of securities with the Financial Services Commission
- 3) Official document designating innovative financial services under the Special Act on Support for Financial Innovation
- 4) Prospectus
- 5) A copy of the contract (including an agreement for liquidity provision) signed with the authorized participant
- 6) Certificate of issuance and registration
- 7) Documents that can confirm the conversion details or documents that can prove the payment of amount under Article 248, Paragraph 3 of the Enforcement Decree of the Act
- 8) A copy of trust contract and documents describing the operation plan for the trust property of investment trust
- 9) A copy of the agency service contract entered with the general office management company
- 10) Other documents that the Exchange deems necessary for the preliminary listing review

Notes: Documents 6) and 7) can be submitted until the day before the listing date.

[Appendix 3] Guidelines for Listing Review of Class X Beneficiary Certificates

Guidelines for Listing Review of Class X Beneficiary Certificates (Pertaining to [§4] of the Enforcement Rules)

1. Purpose

The purpose of these Guidelines is to stipulate the detailed matters on the listing review necessary for the application of the review criteria to the listing of Class X beneficiary certificates, pursuant to the provisions of [§3(5)] of the Enforcement Rules.

2. Guidelines for Application of Review Criteria

(a) The product structure, etc. shall be lawful in accordance with relevant laws and regulations.

(i) Compliance with relevant laws and regulations

The trust contract, articles of incorporation, authorized participant contract, agreement for liquidity provision, etc. of the Class X beneficiary certificates fund shall be recognized to have legal requisites to the level set by the Act and the Regulations on Financial Investment Business

(ii) Restrictions on issuance and trading

It shall be recognized that, in order to guarantee cashability for investors, there are no specific restrictions pertaining to the free redemption in the primary market of Class X beneficial certificates or to the trading in the Exchange market.

(b) In light of the characteristics and the efficient management of included assets, etc., the Class X beneficiary certificates shall be deemed to be sustainable.

(i) Soundness of included assets

① In light of the characteristics of included assets, it shall not fall under any cases where the formation of reliable price is difficult due to abnormal fluctuation in prices, or where it is significantly limited for ordinary investors to find the price information of the assets, etc.

② It shall be recognized that included assets do not violate good morals and other social

order and thus do not undermine the realization of public interests and protection of investors.

(ii) Methods of management

① Rationality of asset composition

- a) The assets of an Class X beneficiary certificates fund shall be structured appropriately to the operating strategy and profit structure to achieve its investment objectives.
- b) The base price calculation method shall be capable of appropriately assessing the value of the fund's assets.

② Liquidity of included assets

It shall be recognized that the liquidity of assets for operation is sufficient enough not to cause too much impact on the market when they are bought or sold.

③ Stability of included assets

- a) In the case of raw materials, etc. that need to be kept in custody, it shall be recognized that the management plans are duly prepared and implemented to secure the stability of transaction in terms of quality of the assets, storage conditions, assessment institutions, etc.
- b) In cases where the transaction of borrowing and lending is allowed in the standardized contract of Class X beneficiary certificates fund, it shall be recognized that the management plans are properly prepared concerning the size and portion of borrowing and lending with counterparty, period of borrowing and lending, counterparty risk, etc.

(c) With regards to the operation of Class X beneficiary certificates fund, the transparency of the internal control system and disclosure system, etc. of the applicant for initial listing shall be recognized.

(i) Operational ability

- ① There shall not be any disciplinary measures received severer than partial suspension of operation and/or business during the latest one year and there shall not be any disciplinary measures received severer than issuance of warning to institution during the latest six months.
- ② It shall be recognized that the accounting process and systems necessary for the creation and verification of asset composition (PCF) and net asset value (NAV) are prepared.

- ③ There shall be human resources and organization exclusively dedicated to reporting (corporate disclosure) business and the operation manual for Class X beneficiary certificates fund in place.

(ii) Conflicts of interest

- ④ In the case of intending to do a transaction of borrowing and lending of the assets held by the Class X beneficiary certificates fund with an interested party prescribed in Article 84 of the Enforcement Decree of the Act, it shall be recognized that a check system including procedures for price comparison is properly prepared and operated.
- ⑤ When liquidity provision is conducted by a single liquidity provider, such liquidity provider shall not fall under any interested parties.

(iii) Liquidity providers

- ⑥ A liquidity provider shall possess professional human resources and computer system for liquidity provision.
- ⑦ The hedging tools and methods of a liquidity provider shall be deemed not to exceed the bid-ask spread ratios and deviation ratios stipulated in [§18] of the Regulations.

(d) Investor protection measures shall be in place in collective investment contract, etc., in preparation for delisting due to the cancellation of designation and/or expiration of the designation period for an innovative financial service of a listed company or the termination of operation of class X beneficiary certificates for publicly offered funds.

(i) Indication of possibility of delisting

The collective investment regulations, etc. shall include provisions regarding the possibility Of delisting of Class X beneficiary certificates due to the cancellation of designation and/or expiration of the designation period for an innovative financial service of a listed company or the termination of operation of Class X beneficiary certificates for publicly offered funds.

(ii) Investor guidance

It shall be recognized that investors are properly informed of the matters specified in the collective investment regulation, etc.

(e) In addition, it shall be recognized that the sound development of the KOSPI market will not be hampered.

(i) Principles for assigning issue names

The name of the Class X beneficiary certificates issue must be deemed appropriate
For explaining the investment target, investment strategy, and product characteristics.

[Appendix 4] Application Documents for Supplementary Listing

Application Documents for Supplementary Listing (Pertaining to [§5] of the Enforcement Rules)

- 1) Application for supplementary listing and listing change in [Annex Form No. 2]
- 2) Specifications of receipt and delivery
- 3) Certificate of issuance and registration
- 4) Documents proving an increase in the trust principal amount
- 5) Other documents that the Exchange deems necessary for the listing review

[Appendix 5] Application Documents for Listing Change

Application Documents for Listing Change (Pertaining to [§5] of the Enforcement Rules)

- 1) Application for supplementary listing and listing change in [Annex Form No. 2]
- 2) Specifications of receipt and delivery
- 3) Certificate of issuance and registration
- 4) Documents proving an increase or decrease in the capital stock or the trust principal
- 5) Other documents that the Exchange deems necessary for the listing review

[Appendix 6] Timing of Designation and Revocation of Administrative Issue Status

Timing of Designation and Revocation of Administrative Issue Status (Pertaining to [§6] of the Enforcement Rules)

Designation		Revocation	
Grounds	Timing	Grounds	Timing
(i) Principal amount of trust and total net assets not up to standards ([§8(1)1] of the Regulations)	On the first trading day of next semiannual period.	When it was confirmed that the grounds for the designation were resolved.	On the first trading day of next semiannual period.
(ii) When receiving a corrective order under Article 7 of Financial Innovation Act ([§8(1)2] of the Regulations)	On the day immediately following the date when the concerned fact was confirmed.	When it was confirmed that the grounds for the designation were resolved.	On the day immediately following the date when the grounds for revocation have occurred.
(iii) When requesting the revocation of designation under Article 8 of Financial Innovation Act ([§8(1)3] of the Regulations)	On the day immediately following the date when the concerned fact was confirmed.	When it was confirmed that the grounds for the designation were resolved.	On the day immediately following the date when the grounds for revocation have occurred.
(iv) When receiving the suspension order under Article 11 of Financial Innovation Act ([§8(1)4] of the Regulations)	On the day immediately following the date when the concerned fact was confirmed.	When it was confirmed that the grounds for the designation were resolved.	On the day immediately following the date when the grounds for revocation have occurred.
(v) Realization of the public interest and investor protection ([§8(1)2] of the Regulations)	On the day immediately following the date when the concerned fact was confirmed.	When it was confirmed that the grounds for the designation were resolved.	On the day immediately following the date when the grounds for revocation have occurred.

[Appendix 7] Listing Fees and Annual Dues

Listing Fees and Annual Dues (Pertaining to [§19] of the Enforcement Rules)

1. Listing Fees

	Fees	
Listing review	KRW 50 billion	
Initial listing	1/3 of the amount calculated by multiplying the trust principal amount to be listed by the following rates (however, the maximum is KRW 250 million)	
	Trust principal amount to be listed (in KRW billion)	Fee rates
	≤ 50	KRW 1 million
	>50 and ≤100	KRW 5 million + KRW 75,000 per KRW 1 billion for the amount in excess of KRW 50 billion
	>100 and ≤200	KRW 8.75 million + KRW 60,000 per KRW 1 billion for the amount in excess of KRW 100 billion
	>200 and ≤500	KRW 14.75 million + KRW 45,000 per KRW 1 billion for the amount in excess of KRW 200 billion
	>500 and ≤2,000	KRW 28.25 million + KRW 35,000 per KRW 1 billion for the amount in excess of KRW 500 billion
	>2,000 and ≤5,000	KRW 80.75 million + KRW 25,000 per KRW 1 billion for the amount in excess of KRW 2 trillion
	>5,000 and ≤10,000	KRW 155.75 million + KRW 15,000 per KRW 1 billion for the amount in excess of KRW 5 trillion
	>10,000	KRW 230.75 million + KRW 5,000 per KRW 1 billion for the amount in excess of KRW 10 trillion
Supplementary listing	1/3 of the amount calculated by multiplying the trust principal amount to be listed by the following rates (however, the maximum is KRW 80 million)	
	Trust principal amount to be listed (in KRW billion)	Fee rates
	≤3	KRW 500,000 per KRW 1 billion (However, fixed rate of KRW 250,000 for the amount to be listed of KRW 100 million or less and KRW 500,000 for the amount to be listed over KRW 100 million but not more than KRW 1 billion)
	>3 and ≤20	KRW 1.5 million + KRW 210,000 per KRW 1 billion for the amount to be listed in excess of KRW 3 billion
	>20 and ≤50	KRW 5.07 million + KRW 180,000 per KRW 1 billion for the amount to be listed in excess of KRW 20 billion
	>50 and ≤100	KRW 10.47 million + KRW 150,000 per KRW 1 billion for the amount to be listed in excess of KRW 50 billion
	>100 and ≤200	KRW 17.97 million + KRW 120,000 per KRW 1 billion for the amount to be listed in excess of KRW 100 billion
	>200 and ≤500	KRW 29.97 million + KRW 80,000 per KRW 1 billion for the amount to be listed in excess of KRW 20 billion
	>500	KRW 53.97 million + KRW 30,000 per KRW 1 billion for the amount to be listed in excess of KRW 500 billion
Listing change	KRW 300,000 per case	

Note.

1. Listing fees shall be calculated by issue.

2. Listing fees for supplementary listing shall be calculated by the date for listing application.

3. When calculating the fee rate per KRW 1 billion, amounts less than KRW 1 billion are rounded up.
4. If an applicant for listing change submits multiple applications for listing change on the same date, all applications are considered a single application and listing fee for a single application shall be charged.

2. Annual Dues

Annual Dues	
(i) Annual dues paid regularly: 1/3 of the amount calculated by applying the fee rates shown below, on the basis of average trust principal of the latest year (provided that the maximum amount shall be KRW 50 million).	
(ii) Annual dues paid irregularly: 1/3 of the amounts calculated by prorating the annual dues, calculated by applying the fee rates shown below to the average trust principal for the year concerned up to the day when the decision on de-listing was made, based on the number of days of the period from the first day of the year to which the de-listing date belongs to the day before the de-listing date (provided that the maximum amount shall be KRW 50 million).	
Average trust principal (in KRW billion)	Fee Rates
≤20	KRW 1.2 million
>20 and ≤50	KRW 1.2 million + KRW 8,000 per KRW 1 billion of average market capitalization in excess of KRW 20 billion
>50 and ≤100	KRW 1.44 million + KRW 7,000 per KRW 1 billion of average market capitalization in excess of KRW 50 billion
>100 and ≤200	KRW 1.79 million + KRW 6,000 per KRW 1 billion of average market capitalization in excess of KRW 100 billion
>200 and ≤500	KRW 2.39 million + KRW 5,000 per KRW 1 billion of average market capitalization in excess of KRW 200 billion
>500 and ≤2,000	KRW 3.89 million + KRW 3,000 per KRW 1 billion of average market capitalization in excess of KRW 500 billion
>2,000 and ≤5,000	KRW 8.39 million + KRW 1,200 per KRW 1 billion of average market capitalization in excess of KRW 2,000 billion
>5,000	KRW 11.99 million + KRW 800 per KRW 1 billion of average market capitalization in excess of KRW 5,000 billion

Note.

1. When calculating the annual dues paid regularly for initial listing, the amounts shall be determined by prorating the amounts calculated according to the Table above based on the number of days from the initial listing date to the last day of the concerned year.
2. In the case of initial listing, the average trust amount shall be calculated based on the concerned number of days.
3. When determining the fees per KRW 1 billion, the number less than KRW 1 billion shall be rounded off.
4. The average trust principal shall be the simple arithmetic average of the listed trust principal. In such cases, if the trading is suspended, the listed trust principal of the day immediately preceding the trading suspension date shall apply as the daily listed trust principal for the period of trading suspension.

3. Payment Time of Listing Fees and Annual Dues

(a) Listing fees

	Payment time
Fees for listing review	At the time of applying for preliminary listing review
Listing fees for other cases	At the time of applying for listing

Note. listing fees can be paid by the next day of the day when the amount of trust principal to list is finalized.

(b) Annual Dues

	Payment time
Regular payments	Annual dues of the latest year for the securities listed as of the end of the latest year shall be paid by the end of January of each year.
Irregular payments	Annual dues shall be paid before being delisted.

4. Exemption of Listing Fees and Annual Dues

The Exchange may exempt the listing fees and annual dues that falls under any of the followings.

- | |
|---|
| <ul style="list-style-type: none">(i) Supplementary listing fee following supplementary listing and listing change fees following the redemption and the change of trust principal(ii) In addition, the listing fees and annual dues that the Exchange deems it necessary to exempt for the purpose of market administration, etc. |
|---|

5. Other Matters Relating to Listing Fees and Annual Dues

(a) Notification of bill of payment and measures against non-payments

- (i) With respect to the payment of annual dues, the Exchange shall notify the listed corporations of such fact by the day two (2) weeks before the due date for the regular payments and by the day one (1) week before the delisting date for the irregular payments.
- (ii) In cases where a listed corporation fails to make payment of the annual dues within three (3) months after the due date, the Exchange may file legal actions such as request for an order of payment against the concerned corporation. Provided that this provision shall not apply to the delisted corporations.

(b) Refund and additional payments

In cases where the listing application of a security was rejected, the Exchange shall refund the listing fees that were prepaid. Provided that the fees for preliminary listing review shall not be refundable once the preliminary listing review process has commenced.

(c) Basic exchange rates, etc.

- (i) When determining the listing fees and annual dues for the securities issued by foreign corporations, the basic exchange rates that are determined and announced pursuant to the

Foreign Exchange Transaction Regulations shall be used as follows:

- ① For listing fees, the basic exchange rate on the listing application date;
 - ② For annual dues, the basic exchange rate at the end of the latest year. Provided that, for the cases of irregular payments, the basic exchange rate as of the day when the decision to delist was made.
- (ii) The amounts of listing fees and annual dues less than KRW 100 shall be discarded.

Listing Agreement

Article 1. Purpose

The purpose of this Agreement is to stipulate the basic matters with which _____ (hereinafter referred to as the “Company”) shall, upon listing its Class X beneficiary certificates on the Korea Exchange (the “Exchange”), comply as a listed corporation, for the sake of formation of fair price, efficient trading of securities and protection of investors, etc. in the securities market.

Article 2. Observance of laws and regulations

The Company shall observe faithfully following laws and regulations, which are currently enforced, may be established and amended from time to time in the future:

1. Financial Investment Services and Capital Markets Act, Enforcement Decree and Enforcement Rules of the same Act, and other governing laws and regulations;
2. Regulations on the Market Operation of Class X Beneficiary Certificates of a Multiple Class Fund and Enforcement Rules of the same Regulation;
3. KOSPI Market Listing Regulation and Enforcement Rules of the same Regulation;
4. KOSPI Market Disclosure Regulation and Enforcement Rules of the same Regulation;
5. KOSPI Market Business Regulation and Enforcement Rules of the same Regulation; and
6. Other matters concerning listed corporations such as standards, guidelines and policies set forth by the Exchange.

Article 3. Cooperation with respect to inspection of abnormal transactions

In case where the Exchange deems necessary with respect to the inspection of abnormal transactions of listed securities, it may request the Company, in writing or via wired and/or wireless communications, to submit copies of materials related to the process of creation of material corporate information (minutes of the board of directors, contracts etc.) including the time of generation of the information, the list of executives and employees, the personal information on major insiders and the list of shareholders, etc.

Article 4. Establishment and operation of listing and disclosure system

To efficiently carry out the tasks of listing and disclosure, the Company shall establish the listing and

disclosure system that the Exchange provides and manage it, including by upgrading it to the latest version, so not to cause any impediment to the performance of the tasks.

Article 5. Fulfilling corporate social responsibilities

The Company, as a listed corporation, shall be aware of the importance of the harmonious development between the corporate community and the society through environmental protection, transparent management, etc. and fulfill its social responsibilities.

Article 6. Measures

(1) The Exchange may request the Company for necessary matters, in writing or wired and/or wireless communications, such as submission of related materials or reports and interviews with persons involved, in case where it deems necessary for the effective implementation of this agreement and in such cases, the Company shall reply immediately to the request as long as there are no special reasons acknowledged by the Exchange.

(2) In case where the Company fails to faithfully perform the matters stipulated in this agreement, the Exchange may take necessary measures including requests for rectification, submission of improvement reports, request of a written pledge, education of the persons involved, etc.

Article 7. Renewal of agreement

In case where, after having entered into this agreement, the Exchange deems it necessary to change the contents of the agreement, it shall notify the Company of the details of such change and if there is no objection filed by the Company within fifteen (15) days after the notification was made, it shall be deemed that the agreement is duly renewed.

Article 10. Agreement on jurisdiction

It is agreed upon that all disputes which may arise in relation to this agreement shall be finally settled by the court with the jurisdiction over KOSPI Market Division of the KRX.

Article 11. Mutual signature of agreement

The Company and the Exchange, as the parties to the agreement, draw up this agreement for the purpose of clarifying where the responsibility lies and mutually write names and affix seals or signatures, and keep one copy each.

Date: mm/dd/yyyy

Name and Signature/Seal of KRX CEO: _____

Name and Signature/Seal of Representative: _____

[Appendix Form No. 2] Application for Supplementary Listing / Listing Change

Application for Supplementary Listing / Listing Change

To Chairperson of Korea Exchange,

Date: mm / dd / yyyy

Name of corporation:

Name & seal/signature of representative:

_____ (name of corporation) hereby makes an application for supplementary listing / listing change as follows pursuant to Article 7 of the Regulations on the Market Operation of Class X Beneficiary Certificates of a Multiple Class Fund.

Issue name (issue code)	(KR7)			
Number of beneficiary certificates applied for supplementary listing or listing change ¹⁾	Units			
Scheduled listing date for supplementary listing or listing change				
Date of establishment or redemption of beneficial certificates to be listed				
Details of changes	Number of certificates before supplementary listing or listing change	Number of certificates to be increased	Number of certificates to be decreased	Number of certificates after supplementary listing or listing change

Note.

1. In case of a decrease, indicate it with a -.

2. The number of beneficiary certificates that are increased or decreased due to arbitrage transactions, etc., shall be separately recorded for each authorized participant and attached.

[Appendix Form No. 3] Report of Liquidity Provision Account

Report of Liquidity Provision Account

To Chairperson of Korea Exchange,

_____ (name of corporation) hereby reports matters related to the liquidity provision account as follows pursuant to Article 11(1) of the Enforcement Rules of the Regulations on the Market Operation of Class X Beneficiary Certificates of a Multiple Class Fund.

Date: mm / dd / yyyy

Name and seal/signature of representative:

Reason of report	Establishment ☐ Change ☐ Closure ☐		
No. of liquidity provision account	(12 digits)		
Type of products			
Target products for liquidity provision	Issue code (ISIN, 12 digits)	Korean issue name abbreviation	
No. of hedge transaction account	(12 digits)		
Date of application (based on trading day)	mm/dd/yyyy		
Person in charge	Name		
	Phone number		
	E-mail		

Note.

1. Only one product group (product group: ETF, ETN, ELW, or Class X beneficiary certificates) can be reported per liquidity provision account.
2. There is no limit to the maximum number of liquidity provision target issues per liquidity provision account.
3. Only one hedge transaction account can be linked to a liquidity provision account (however, a liquidity provision account can be used as a hedge transaction account).